Tyler Cowen: The AI Bears Are Asking The Wrong Questions

Podcast: prof G markets

AI Executive Summary

1. Core Thesis: The provided text is a composite feed containing advertisements, personal family advice segments, and a substantial economic interview with economist Tyler Cowan regarding Artificial Intelligence (AI) and US fiscal policy. While brief segments discuss parenting challenges (Roxanne Gay/Megan Rapinoe) and business tools (Vantor, Rippling AI), the primary substantive content focuses on the sustainability of the AI ecosystem, labor market implications, and the need for institutional adaptation. Cowan argues that while AI represents a genuine technological revolution capable of driving growth and efficiency (resembling early railroads or autos rather than speculative bubbles), it poses significant risks to the upper-middle-class economic structure due to income disruption and social isolation.

2. Key Arguments & Data:

3. **AI Market Viability:** Cowan rejects the "bubble" label for AI, noting that valuations are high but the technology works better than speculative industries like the Dot-Com era. However, he warns of significant volatility; a potential correction would be normal given the sector's history.
    - **Capex vs Revenue:** The AI sector has deployed $2.5 trillion in Capital Expenditure against $150 billion in revenue, indicating high leverage and growth potential, yet raising questions about corporate profitability (Anthropic/OpenAI are currently losing money on prompt subsidies).
    - **Efficiency Gains:** Token usage prices have dropped more than 100x since the GPT-4 era, demonstrating rapid efficiency improvements that support long-term viability despite short-term price pressures.
4. **Labor Market & Jobs:** The labor market is expected to remain stable as job losses from AI are offset by new creations (modest net impact).
    - **Programming Roles:** Developers will shift from coding to "impresarios" roles, acting as overseers for AI agents rather than manual coders.

    - **Displacement Risks:** The biggest losers in the AI transition will be the upper-middle-class professionals doing intellectual work who cannot compete with AI speed/quality. Conversely, teenagers starting companies with AI agents and immigrants entering new industries are projected to be significant winners.
5. **Education & Higher Ed:** Current higher education institutions are failing to adapt to AI, often focusing on networking/social functions rather than intellectual instruction as students outpace professors in AI knowledge.
    - **Skill Acquisition:** The "traditional path" is no longer guaranteed for prosperity. Networking, curiosity, and continuous upskilling (learning how to learn) are emphasized as critical skills for the future workforce.
6. **Fiscal Policy & Debt:** The US national debt has risen to approximately $40 trillion, with real interest rates rising globally. Cowan views AI as "Plan A" to help growth outpace deficits but notes politicians often lack fiscal discipline to manage this responsibly.
    - **Immigration:** High-skilled immigration is currently restricted (Trump's plan cited); Cowan argues for making it easier, noting that restrictive nativist policies hinder long-term economic potential.
    - **Data Centers:** Despite political backlash (e.g., anti-data center rhetoric), they remain net-positive economically; the wealthiest counties often host them due to property tax benefits without significant environmental burden.

7. **Social Implications:** AI risks exacerbating loneliness, particularly for young men who may spend more time with digital content than offline interactions. Cultural shifts toward in-person social interaction (like Mexico) are suggested as necessary mitigations.

8. Actionable Takeaways:

9. **Educational Strategy:** Young people should invest in lifelong learning and networking over traditional certification; learn to command a room, give talks, and adapt quickly as the perfect cover letter is becoming meaningless due to AI automation.

10. **Investment Perspective:** Investors should view AI as a transformative technology (like automobiles) that will likely yield long-term growth despite short-term valuation volatility; focus on efficiency curves rather than speculative company success.
11. **Professional Adaptation:** Professionals in intellectual fields must transition from execution to oversight ("impresario" roles), consulting with AI agents and monitoring workflows for quality control.
12. **Policy & Career Direction:** Policymakers should prioritize high-skilled immigration reform to maintain competitive advantage; individuals should view AI productivity gains as an opportunity to reinvest or improve living standards, even if initial disruption occurs in specific income brackets.

Full Transcript

Your team just added its 67th AI tool and also your 67th security blind spot. The good news? The vanter agent works like a GRC engineer in the background. Finding every app your team uses, scoring the risk and drafting fixes for you. Vantor is the platform used by over 16,000 fast-moving companies like Cursor, Atlassian and SuperBase, who are shaping the future with AI and staying ahead of AI risk. Get started at Vantor.com. I'm Ina Garten. On my new podcast, Happy Hour with Ina, I'm inviting really interesting guests to join me for a drink and a fun conversation at my kitchen table in New York City. I'll be getting personal with chefs, actors, comedians, musicians, and writers I admire. So grab a snack, pull up a chair, and join us. Subscribe to Happy Hour with Ina on YouTube or wherever you get your podcasts.

New episodes will be available every Wednesday, starting September 16th. Megan Rapinoe here. This week on Why Are You Like This, I am talking with Roxanne Gay. That's right, Roxanne Gay. Roxanne is a fearless writer and cultural critic whose impact goes way beyond her New York Times bestselling books. We dig into all the big moments of her life and of course, she shares if she's more mommy, daddy or baby. Check out the latest episode of Why Are You Like This, wherever you get your podcasts and on YouTube. I was lying. You started. I was lying. You jumped to the punchline too quickly. You got to give it a second. Let me get going. Go ahead. What'd you do? I am sort of interested. What did you do? Where'd you go? I was a Munich or actually just outside of Munich in Amherdingen for a friend's wedding, which was incredible in Bavaria. Then I drove. I rented a car with my girlfriend, drove down the Autobahn into Kitzb��hel in Austria, spent a week.

in Kitspule, hiking, chilling, going to the spa. It was probably, I think it was the best vacation of my life. I've been sort of pondering on it, but I think it's my number one. And then I spent the weekend in London and I decided, you know what, I need to see the opening match of the Premier League. So I went to the Chelsea game and sat in the front row and watched Chelsea beat Fulham. So I'm feeling very good. I miss it. I mean, I love this podcast.

I love doing this with you, but I could have maybe taken a few more weeks off, but I'm feeling very good. I feel ready, ready for the year. Oh, that's great. Yeah, you sound energized. How about you? Yeah, August was good. I dropped my kid off at school. Nothing screams confident masculinity, like crying in your car when your son walks out of Best Buy with his own mini fridge. But yeah, it's...

Yeah, that was the big deal was dropping my kid off at school. What are your takeaways having dropped your first son off at college? Well the way you summarize it is your life gets smaller so theirs can get bigger and it's just you're a tide pool of emotions because everything just sort of hits you all at once and there was all these things you were going to do that you didn't get a chance to do I had all these You know, we did a lot. I think it was more present than most dads, but you know, I had thought, oh wait, I got to take my son to Alaska. I want to buy a car and restore it with him. And I want to take him to, you know, Latin America. And I wanted him to come on tour with me on one of my speaking gig things. And all you think about is all the shit. Maybe it's because I'm kind of a glass half empty kind of guy, but all you think about is the shit you were supposed to be. You didn't, but...

He makes it a little bit easier not to be sad because I think of myself as this spiritual loving guy. And he's literally like, I got this dad and shoving me out of the room after about seven minutes. And also, I mean, quite frankly, I didn't want to make it about me. So I thought, all right, keep it together. Like your 18 year old does not need the emotional baggage of his father, like singing cats in the cradle over and over in his head. So yeah, I tried to, I held it together. He'd be proud of me. I didn't cry. And we just fixed up this dorm room and we thread the needle between a comfortable nice dorm room and one of these ridiculous real housewives of Palm Beach things where they turn it into the Rhett's Carlton Charlottesville. So we went to Target. I'm like, I'm not going to buy anything nice. You can get anything you want, but it's coming from Target. And then the moment I lost it was actually after we dropped him and I was back at the hotel.

And I was sitting there and I noticed this car stop at the dorm or the business school, the law school is next to where we were staying. And this

mom got out on the driver's side and then a kid got out of the back seat and then the dad got out of the passenger seat and then they hugged, they embraced and the dad immediately had to walk away. and he started crying and I realized it was their own drop off and then I just lost my shit. So whoever that dad was losing it on the sidewalk kind of did my like express my emotions for me. Are you surprised by the significance of dropping the kid off at college? Like I know people talk about it and I know it's like, you know, empty nest, what is it? Syndrome? Yeah. Empty nest, whatever the feeling is called. I know it's a thing, but I wonder if it's more of a thing than you expected. First off, I think it's difficult and a big moment for a lot of people. And it's just so different now. My drop-off was my mom gave me an iron. I used iron and said, here, you're gonna need this. That was my big drop-off was she left an iron on the kitchen table for me to take to college. That was the emotional drop-off that was my drop-off in 1992.

82, this is a much bigger deal. Drop off is a much bigger deal now. For me, I think, well, it just marks a different point in your life where your kids are no longer at home. And the thing I'm wrestling with a little bit on an existential level is I've always described my purpose is raising, preparing my, my son's for others, and it's been a nice source of purpose for me. And now you kind of worry like, okay, am I gonna have a purpose moving forward? So it marks time. It's like basically now really all I have to look forward to is the ass cancer, Ed. Don't lie, you've been looking forward to that for years. Yeah, haven't talked about it all. You'll see, it's impossible to explain until it actually happens to you, but I tried to hold it together such that Again as as I I didn't want to do what I always do and that's turn it turn it to me And he seems happy. I speak to my boys every day which makes things easier for me So I talked to him about his classes and what's going on. Oh, that's good. And also it's just it's a great Everything that I'd hope for in terms of UVA is what it's out of central casting, you know, the this campus is great the kids seem really smart and nice and You know, he's having a great time and so that makes it easier So, we'll see. We'll see. Sounds like you're not sure what you're making it yet. I'm an emotional typo. I don't know how to process it all. It's the bottom line. I'm like, what do you take away? Process things now. Yeah, and I don't. Well, we'll check in on that for sure. I appreciate that. Thanks. It's an interesting time. Well,

now that we've got the life advice or life reflections out of the way, we have a very...

Very interesting discussion with someone who we want to have on the show for a while now. So don't miss it. We've been away on break for the past two weeks. And in that time, there have been a ton of developments in the world of AI. One of the biggest was the hacking of hugging face by rogue agents from open AI. But beyond that breaking news, there are still some lingering questions about AI that are keeping the market on edge. For example, are we in a bubble? How will AI reshape the job market? And is the massive spending that we're seeing from these companies actually sustainable? So to help us make sense of it all, we are turning to someone who a lot of the other experts we've had on this show often listen to. He has consistently been named one of the most influential economists and thinkers in the world. And he's been described as, quote, the man who wants to know everything. So here is our conversation with Tyler Cowan, economist, author, podcaster and chair of the McCarty Centre at George Mason University. Tyler, great to be joined by you today. Very excited to get into this conversation. I'd love to start with some questions about the AI bubble, whether or not we are in one. And I would especially love to start with a clip from an interview that went viral recently. This was from the diary of a CEO's interview with Ed Zitron, who has become famously one of AI's biggest critics. I'm going to play you what he said about AI and I want to get your reactions to start this off. I think generative AI is at its heart con. I don't think it is sold as honest software. I think that they overstay both what it can do, what it will do and The underlying financials to the point that they are misleading the entire world and they're actively exploiting the weaknesses in journalism, in our economies, and indeed within the responsible parties with cell-side analysts, governments and all over the shop. The word con is a strong word. Yeah, I mean, what do you call something where from the very beginning they've sold it in the terms of magic as this thing that will replace all jobs that will cure cancer is all of these things. And when you look at it, it's boring cloud software that's extremely expensive and unprofitable, and also unreliable at its core. You are a world-renowned economist. You've written a lot about AI. You also serve on Anthropics, Economic Advisory Council, so you think about this stuff a lot. What do you make of those comments? Do you agree with them?

AI is like magic in many ways. There are many, many tasks where it does better than humans. It doesn't mean it will take away your job.

because your job involves the physical world as well in dealing with people. But for intellectual tasks, it's a truly remarkable achievement, one of the top in the history of mankind. There's a tweet circulating on Twitter about all of Ed Citron's wrong predictions so far. OpenAI just hit a billion dollars of revenue from ads. The revenue to date for Anthropic and OpenAI has been incredible. There's also Grock, Meta, other companies, the Chinese waiting in the wings. I'm not saying every company will make it. There are plenty of car companies in the 1920s. They're not mostly around today, but cars are a big, big thing, and AI is too. When you think about this idea of the circularity of the AI ecosystem, this idea, and this is something that Zutron has talked about, that You have a lot of these companies, these big tech companies that are investing in Anthropic and OpenAI, and then OpenAI and Anthropic are then turning around and spending those dollars on compute that is sold to them by basically their investors. The fact that OpenAI and Anthropic have made up such a significant portion of these big tech companies, AI revenue, for example, Microsoft, 70% of the AI revenue last year came from OpenAI.

Does that element of it concern you? Not the technology, but the way that the technology is being sold right now. New things bootstrap themselves all the time. You can think of NVIDIA as a kind of lender or buyer of last resort for the sector. You could say the same about Microsoft, arguably Google, maybe Meta as well. There's a lot of capital in the sector. that increases its long run chances of making it. Again, the point is not that every single company will prosper, but the stuff works. There's no reason to be skeptical per se about the economic future of AI. If one of those companies were to fail, because you're saying maybe these companies won't all make it out alive, is that not quite a significant statement? If it's not a certainty?

that some of these AI labs wouldn't make it out of this or that they wouldn't prosper or succeed. The valuations that we're seeing, looking at how systemic they have become to our economy, is that not something that worries you? It's a super competitive sector. You could say in a way we

should hope they don't all make it that some of them have much better products than the others. Are there economic costs to companies going out of business? Of course, the companies themselves are not very heavily financed by debt. You could say there's other parts of the supply chain, data centers and the like, or people investing in those that aren't financed by debt. That could have some bad macro consequences. But again, every new technology we've had, including the internet, including cars, including railroads, there are ups and downs to the cycle. Not every company makes it. The really good stuff basically works and it sticks around with us forever, like the railroads do. Do I worry about day-to-day volatility, of course, but keep it in perspective, right?

Every sector has had this. You have to ask yourself, does the product work? And the answer here is a very clear yes. It says we saw the dot-com implosion again. Going with your analogy, there's value here and there will be ups and downs. Do you think that that is a scenario that is probable, possible? Do you think that that is something that should be talked about? It's possible, but there are big differences. So revenue growth for the current AI companies looks much better than what we saw before the dot-com bubble burst, right? The degree of capitalization in the sector is much better and much stronger. Just our confidence in the technology. So a lot of things are possible. Again, volatility would not in the slightest surprise me. It's been a historical regularity.

Pets.com went under, but you can buy pet food online all day long if you want. And that's the world we're headed for with AI. Do you think that discussion of a bubble or the possibility of there being a bubble is the wrong discussion? Do you think that maybe there is something more important, more significant that people should be talking about instead? I think it's the wrong discussion. I don't like the word bubble. You know we're automobiles a bubble in the nineteen twenties again a lot of the companies failed they were not the best companies. Could you imagine companies whether a i are not today failing because of middle eastern war war with russia. Mistakes from the fed half dozen other reasons of course you can so things can fail it doesn't mean they were bubbles to begin with a bubble to begin with is something like the south sea bubble or the dutch tulip bulbs that just made no sense this is not that.

I think the key question is just, how much will society accept the changes coming from AI? That is indeed a very open question. We might decide to stop or halt or slow down those changes. And there I think we should be very agnostic. I'll put forward a thesis and you tell me where you think we have it right or wrong. You mentioned the automobile market. It feels to me that an apt analogy would be that the frontier models are German automobile manufacturers, higher priced prestige. better technology, larger margins, and that the open weight Chinese models are more like the Korean or the Japanese auto market that end up putting more cars or AI in the hands of users around the world. Do you feel that's an accurate description? Do you feel that the market is kind of bifurcating? Open source models make frontier models easier to use. You use frontier models for the frontier tasks, and you use open source models for simpler tasks.

So it doesn't have to be either or. Right now, the best proprietary models are better. For tough tasks, that makes a big difference. Using Fable 5, you can do many things that you cannot do with the Chinese open source models. I think China also is more likely to get scared of its own AI than America is. So there's no guarantee progress on the Chinese front will continue. So again, there's a lot of competition. But the idea that American business is just going to whole scale rush to Chinese models and abandon the best American models. I don't expect that. So looking at the market dynamics or I've read that 2.5 trillion in CapEx so far about revenues of 150 billion. And in all the technologies we've talked about, railroads, the internet, the grid, highways, the technology oftentimes survives evaluations. It just feels.

eerily reminiscent of all these other innovations where you get above a certain level of GDP spent on catbacks and you have a pretty serious correction regardless of the viability or the importance of the technology. I mean, you're an economist, you look at economic cycles. This feels eerily reminiscent of those different innovations where the technology survived the valuations. Again, a correction wouldn't surprise me, but keep in mind this technology has advanced much more quickly than the others. We're in a much wealthier world. Debt plays a much less significant role in this sector. There's massive capitalization in the sector due to the major tech companies who would love to be able to buy up a great proprietary model if it came to that. So in all those ways, this is not like, for instance, the railroads. But

again, I absolutely expect big ups and downs. No one should be surprised by that. As you point out, that's the norm in history. We'll be right back after the break.

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the potential in what we do to be mad scientists. If you have a cell that can be engineered to do whatever you want, you could make something harmful. Suddenly, we're talking about something which could be a catastrophic threat to life on this planet. So do you fear us more than the people who made nuclear weapons? Life from scratch is a new three-part series from Unexplainable. Listen, wherever you get your podcasts or... Watch us on Netflix. Today, our most innovative companies are staying private rather than going public. The result is that everyday Americans are excluded from investing and getting left further behind, while a select few

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Those two numbers appear to roughly balance. AI will spread over time a lot more slowly than AI advocates often seem to think. And I think labor markets will be pretty stable. The only thing you said that seemed unusual to me or I would maybe, I wonder, everyone's talking about kind of a supply crisis or that we don't have the infrastructure or the supply chain to support the increase in demand. And it looks to me as if on the front end, several players that were anticipating more demand, whether it's Meta or X, have immediately pivoted their infrastructure where they're now leasing out their supply because they haven't been able to create the demand they'd initially anticipated. Do you think there's a chance that we might go from what is anticipated being a supply crisis to a front-end demand crisis where they're just a small number of players creating front-end demand?

This is some data that have come out from the two main companies on how many tokens people are using per month. And that number has just been going crazy through the roof. So I don't think there'll be a demand crisis. At some point there may be an energy sector crisis. Right now the US has a huge share of all the world's compute. There's no guarantee we keep that position. So to build out compute. Secure the supply of chips largely through Taiwan. Make sure that over time we increase our own energy and number of data centers against strong political opposition. Those are big challenges. I think we'll squeak by on all those fronts. But again, you could definitely see things going wrong. All you would need is one decision from the Chinese Communist Party and to invade Taiwan. We'd be living in a very different world, right?

Demand for tokens, which is true. I mean, the demand is going up significantly. One of the criticisms, or at least the concerns though, is that that token usage or that token demand is currently being subsidized by the AI labs. I mean, Anthropic, OpenAI, they are losing money on every prompt that a user puts in to the system. And so I think there is a concern that if we were to not subsidize this, if Silicon Valley, if VCs, if big tech were not to basically support the business models of open AI and Anthropic, then maybe it would be different. Maybe the cost of tokens, of token usage would be higher and people would be less inclined to use as many tokens as they're using today.

What do you make of those concerns? Do you think that they're valid? In the short run, the price may well need to go up for the reasons you mentioned, and we already see what is possibly some rationing of compute. But that said, if you look at data, how much has the price of tokens fallen since, say, GPT-4? I forget the number, but it's more than 100x. So we're doing very well on making the systems more efficient and we'll see, you know, which curve outraces which other curve. But it's not that there's no progress in making the systems more efficient. There's been incredible progress. But in the short run, should the price go up? Probably. But aren't costs going higher for these companies? I mean, my understanding is that it's, I mean, it's hard to know because they're not public companies. We can't look at their orders of financials. But my understanding is that anthropic and open AI are spending more.

each year. Better model costs more, yeah. Right. Which would assume, I mean, to me that means that we're not necessarily going in the right direction in terms of making this a profitable business that is necessarily sustainable. To me, it seems like we're technically going in the wrong direction if we're talking about profitability, which we're losing more money. Well, I'm not advising anyone to buy any particular asset, but the worst case scenario is that capital gives a massive subsidy to consumers and we end up still having the model and someone else buys it. That's a great outcome for an egalitarian say. I don't think that will happen. I think the companies will do fine. There's a reason why people talk about anthropic at two trillion. I'm not sure what the current number is for open AI, but I think it's over a trillion. Those are guesses.

But those are smart people with real money on the line and they're saying the companies are worth trillions on average we should believe them why should we believe them in your view because it's their own money on the line once things go public you'll have the chance to short them right. You're free to do that i'm free to do that i have no plan to do that whatsoever the way you really make money in markets is to go long i believe in america i believe in tech. I think artificial intelligence works. Again, I have no favorite horse in terms of which particular company, and I definitely think they're not all going to make it. But again, some of the big ones really will. I guess just from the economics perspective, regardless of whether someone wants to go long or short, because of how dependent the US economy seems to have become, on AI or at least the AI build out, the amount that AI is, that S&P earnings growth is dependent on AI, the amount of the entire stock market is increasingly dependent on AI. And the extent to which the ecosystem itself does depend on those two companies, does that not make it bigger than some will win, some will lose?

aren't we all implicated whether we're long or short or not? Well, for one thing, I don't think the US economy is as dependent on AI as those numbers indicate. As you said yourself, it hasn't affected that many jobs. So there's a lot of money flows. But if somehow AI did not magically exist, the Transformers paper had never been written, that money would flow somewhere else. And you would still have a lot of GDP from some other set of activities. So we're investing more in AI and less in other places. That's a

gamble, of course. But it's wrong to think that AI is currently this massive net contribution to US GDP and that we would have nothing else if it weren't there. So in that sense, we're pretty robust. Now there's a transition issue. People are expecting AI to do well. If that all turned out to be horribly wrong, there'd be a lot of disappointment, big capital losses. Some of those losers have taken out a lot of debt. There'd be solvency issues. That'd be a big mess, right?

But as messes go, I don't even think it would be close to the worst we've seen. Not close to 2008. What is your biggest concern with AI then? I mean, I'd be interested to hear what you're optimistic about, but also, you know, if it's not a market event, some sort of crash, some sort of correction, that seems to be what a lot of people are concerned about with AI right now. What is it for you? What do you worry about? What should people be talking about more? i think we see this already and it's how disoriented people feel the notion that you cannot say to your kid or grand kid here's what you should do for your living here's how you prepare for it here's a more or less guaranteed path to success if you're smart and you work hard i've grown up with that my whole life people like those assurances i don't think they exist in the same way they used to.

There could be someone else equipped with AI or an AI-equipped firm that could outcompete you, and who really can be a consulting partner or a lawyer or do the right thing in medicine and excel at an Ivy League school and walk into a job where they end up earning 2 million a year and living in Manhattan in a nice apartment. I think those paths are now up for grabs. I think there's a lot more opportunity for the world as a whole, but there's a big status and somewhat income disruption for what is a favored class of people, and they don't know how to deal with it. What they do is they keep on running up-eds in the New York Times about how terrible this is, but you're not going to stop it. At the very least, there's Chinese open source. And I think so many parts of human life, whether it's entertainment or religion, or just your own conception of your intelligence, it's going to change. And how we deal with that, it's up to us. But historically, we're not always good at dealing with radical change.

Do you think that that could be potentially a good thing to have a shake up in the way that you're describing? Yes. But again, people don't like it. And the mere fact that people don't like it is discomfort. And that's a bad thing. And then you have to ask, what will the politics of this be? I don't have any specific predictions. I just could see it getting ugly and restrictionist and polarizing. That would hardly be a big surprise. So again, you already see this with the data centers. So I have big concerns. Yeah. Trump recently. put out a tweet on data centers. I don't have the quote right here in front of me, but he basically said that if you try to stop data centers, talking about this data center backlash that we're seeing that's becoming very, very politically popular in America right now, then you're getting in your own way. That's a recipe to become poorer that we should be pro data centers. What do you make of his comments and what do you make of the politicization of AI and data centers in America right now?

Well, it's one of these small number of issues where I completely agree with Trump. While I'm glad he's saying it, I worry that Trump embracing the cause does not in every way help it. Fortunately, America has 50 states, and I think you'll always find at least five governors willing to cut a deal. A lot of these governors seem to say very anti-data center things, and then they go ahead and they still want the deals. What they're saying or announcing is not really binding, like Josh Shapiro in Pennsylvania, West Virginia's welcoming data centers. There's a place in southern Ohio. I think it was written up in the New York Times today. So I think it will happen, but it will be very costly and there'll be lots of bargaining and lots of politics. But again, that's part of the beauty of federalism. There are indeed 50 states and other countries that are federalistic, you know, Germany, Brazil, they don't have close to 50 states. It's a big advantage for America right now.

Do you think that it's unreasonable to be anti-data center? Do you think there are merits to the arguments that building data centers is a bad thing or not at all? I live in northern Virginia right next to Loudoun County, which is ground zero for data centers for the entire world. It's the wealthiest county per capita in the whole United States. The data centers pay, I think, half of the property taxes. There's no actual problem. the cost of power, electricity there, it's about it, national averages, it's actually slightly better. So I'm reluctant to say there are no valid concerns. Oh, maybe you think they're

ugly or there's some slight humming noise or, but man, they don't create a lot of traffic. They pay the bills. They make your place wealthy. We've been wanting reindustrialization for a long time. Labor unions typically support them. I say, let's go ahead and do this. What would the message Do you think the message should be to Americans? What should, if you are trying to make an argument and trying to convince people as to why data centers are ultimately a good thing, how would you change the messaging right now? Because clearly it's not working for most people. I don't think any messaging is working. I think people don't trust their own elites for reasons like COVID in 2008. That's understandable. You can overturn those perceptions.

Maybe just talking about it less and having it happen in a few places and stop trying to persuade everyone On issues the more you talk about it, you know the digger the deeper in you dig yourself So you could try bribing citizens again the 50 states let's try that in one or two places But sometimes that makes it worse the people say hey if this is so great Why do you need to bribe me? But you can try it. I think some states are trying that I think Matt is trying it I think they're paying out local communities to get them on board reminds me of my favorite movie there will be blood. I will pose it back to Scott. There's two trends of thought. And one is that a small number of people and investors who either own these assets or have the ability to leverage AI to the advantage of their enterprise are going to aggregate a disproportionate amount of the spoils resulting in greater income inequality. And then another line of thinking, which it feels like I is incumbent in some of your comments, that this will attack the incumbents and be good or actually be a bit of an equalizer for other less qualified or less traditionally certified professions. Do you come out on either side of the spectrum there about what you anticipate happening? I think the biggest losers will be parts of the upper upper middle class, as I call them. Now, I love the upper upper middle class. I'm a part of it.

So it's the professionals who do intellectual work and those people are not going to starve They may have much lower status. They may earn much less. Maybe they can't talk cluster in Manhattan or San Francisco By their own standards their lives might be worse I think big winners will be teenagers very small companies people who master AI a lot of immigrants

people from unusual places like Eastern Europe or Turkey who we're never so bought into the old ways of doing things and decide hey i can get ahead by starting a company two or three humans and a bunch of agents and they make it work those people will be very wealthy they'll have to work incredibly hard but they're going to challenge people across the board so there's pluses and minuses to all of that but there will be amazing opportunities but the people who now have influence in america i could call them your listeners will hate it on that.

incumbents. He said something I want to double-click on. Teenagers? I direct a philanthropic fund, and I see many applications from teenagers, often as young as 15, who are starting companies with AI agents. Whether those companies succeed this time around, I'm not sure, but they are learning incredible amounts. They are learning things you cannot learn at Harvard or Princeton, and I think they'll be the wealthy people and the successful people of the future. Teenagers, yes. They have no stake in the established order and they're learning these things from scratch and they just do it by experimentation. Again, there's no one to teach them to some extent they teach each other. I think we take for granted that every technological innovation or disruption results in a small number of companies that are able to capture trillions of dollars in shareholder value. But there's also been industries where the technological or the technical results have been extraordinary. I think of jet transportation, vaccines, the PC, where I think you could argue that they weren't able, whatever it was, distribution or capital, weren't able to sequester shareholder value to a small number of companies, that the big winner was us, if you will. I'm sitting here in LA, I think the biggest...

The most secretive technology in my life is jet transportation. And yet I think on average, in aggregate, airlines and jet manufacturers are just barely a break-even to date. Do you think it's possible that the winners might be all of us, but we in fact overstate the industry's ability to capture shareholder value for a small number of companies? I think it's likely. I mean, it's funny to me, the same people who say it's all a bubble turn around and five minutes later. You know want to sell income inequality will go up massively because the companies will learn so much truly fundamental technologies like the printing press fire language. They tend to be enjoyed

by everyone at least over time so there's a lot of medications they're expensive at first then they become cheaper I think that's what we'll see with AI that eventually through energy innovation will get token costs down and it will be pretty cheap and.

The people who benefit the most might be people in Africa who right now don't have access to quality services of legal advice, healthcare diagnosis, and so on. And they'll be getting it very soon or some are starting to get it already. They could be the very biggest winners. You mentioned education. I think a lot about higher ed. And I would argue that higher ed has never been more important. And at the same time, I agree with you that there's an opportunity for younger people to sort of skip the certification line and start a company on. little or no capital that would have previously just been not possible. When you look at higher education, I see applications going up. I see, in my view, college and critical thinking becoming more important. And then a lot of people think that higher education is going to be massively disrupted by AI. What are your thoughts on AI as it relates to higher education? I'm in higher education.

I see schools and universities that are doing very little or nothing to adjust to the new reality. They just complain about students cheating. They don't rethink that they need to be teaching very different things. On average, the students often know more about AI agents than their professors do. So what are the professors supposed to teach? I think it's a huge mess. I agree with your view that education has never been more important. But the role of actually existing institutions in that is highly uncertain. In the short run, they'll become more and more about networking or golf courses or marriage markets or dating. That's fine, in fact, but radical changes are needed. And so far, I really do not see those coming.

Have you ever wondered who invented rock and roll or why Fleetwood Mac fell apart or what it was like at Motown in the early years? Well, do I have a podcast for you? My name is Will Anderson. I'm a songwriter, a musician, and a huge music history buff. And I'm so excited to announce my new podcast, The Monday Music Club. I teamed up to make this podcast with the Vox Media Podcast Network because ever since I was a kid, I loved hearing and reading stories about classic artists, recording

sessions, and music history. And I wanted to have a place to be able to take what I've learned

and share some of those favorites with you. Every Monday I'll be releasing a new episode and deep diving into a new story with experts and special guests, and it's gonna be a blast. So if you're a music history geek like me, or even just a casual music fan, jump in, because I promise the Monday Music Club is gonna be the podcast for you. So like any good millennial, I have a love-hate relationship with Gen Z. It's the phenomenon rattling millennials. They just look at you. They want something bigger themselves, lifestyles a priority, motivation is being inspired. But regardless of how you feel about Gen Z, it's undeniable that they're changing national politics. Generation Z is increasingly showing less loyalty to traditional political parties, many now more likely to identify as independent. So what?

is going on with the kids. I think the biggest misconception about Gen Z's politics right now is that all of a sudden they're all socialists. That is just not the case. They are embracing candidates who are offering new bold ideas in the absence of those ideas from establishment Democrats. This week on America Actually, Gen Z researcher Rachel Jamfaza joins us to separate Gen Z fact. versus fiction. Hustle culture told us to grind 24-7 and we would become overnight millionaires and a lot of us believed it. But this week on Net Worth and Chill, I'm making the case that the grind might actually be making you broke. Because between the DoorDash orders and the Uber's and the sent out laundry, the hidden costs of overworking add up faster than you think. I'm breaking down the real financial toll of burning out, why trading sleep for side hustles is often the wrong math, and what Gen Z quietly quitting actually gets right.

Plus, I'm answering your questions, including how to tell if your business idea is actually good, whether to cash out your vacation days or take them, and how to actually grow your wealth without destroying yourself in the process. Listen wherever you get your podcasts or watch on youtube.com slash your rich BFF. We're back with ProfG Markets. What one or two industries do you think will undergo the greatest shift both to the upside and the downside from the penetration of AI? Well, programming clearly has been accelerated the most, right? There's a lot of evidence for that. It's not a

hypothetical. And I don't think humans will disappear from programming, but they've already taken on a fundamentally different role. They're more like impresarios and they're consulted in the meantime, like, oh, is this going in the proper loop? Is the work actually being done? Is this the thing I asked it to do? Over time, more and more of that will be AIs themselves monitoring. But that's the clearest example.

of a very positive change. The biggest negative, I just think, will be cybersecurity. There'll be a lot more hacks. There's plenty of evidence for this already. Those cost the world a lot will spend more on cybersecurity. It won't be fixed quickly. And I think it's a very real concern. We need a national international effort to really firm up all of our major institutions as quickly as possible. But there's so many institutions and relatively speaking, so little expertise. It's going to be a very tough slog. It feels like we've always been on the precipice of this huge era of innovation in healthcare, that we keep getting seduced by this age of discovery where we're going to see an acceleration in pharmaceutical innovation treatments. Have you thought about AI's improvement of healthcare outcomes? Do you think it's overhyped, underhyped? What are your thoughts? I think about this a lot.

In my view, it's under-hyped. I would make the point, the phrase AI, we think we know what we mean, but in a number of contexts, it's not that well-defined. If we just call it computational biology, it already gave us the mRNA vaccine against COVID in two days. That was an amazing breakthrough that probably saved millions of lives. AI broadly construed, I think over the next 40 years, will beat back many of the things that kill people, and at least I think will live to 100. Scott, whether you and I do, I'm less certain. This anthropic notion that it will all come in a few years' time, I think is badly off. There's just a lot of testing and also regulation and trials and procedures that we both need to go through. But at the very least, we have to go through. So for me, it's more like a 20 to 40 year project. But there's already significant progress against, say, pancreatic cancer. That too came from computational biology. It's not from Claude or open AI, but It's happening. People don't really fully grasp this. So Ed, please save accordingly. You may lift to 100 and don't buy a motorcycle. I want to talk about what I'm worried is one of the really big downsides. It doesn't get much attention. And that is loneliness. And that is some of the deepest

pocketed, most talented companies are using AI to further sequester people, especially young men from their relationships and their kind of...

offline lives and that we're going to end up with perfect gaming, perfect entertainment, perfect facsimile of some sort of sexual experience with porn and that the real downside or the danger of AI is going to be loneliness. And I read that 20 to 30 year old males are spending less time outdoors in prison inmates. Do you worry that we're evolving a new, potentially a new species of a social asexual youth. I think we already had a loneliness problem. We already had what you could call a sex problem, a sex drought. I think our culture will adjust. People don't want to be lonely. If you go to Mexico where I just was, the amount of time people spend outside with each other, it's much higher than in the United States. We need to be more like Mexico. Eventually we'll get there. The AI economic dividend will help pay for that.

But man, we actually have to do it, right? It doesn't happen automatically. So do more things with people. Coach Little League or have groups of people, you know, go on picnics, whatever it has to be, date more, ask women out more, whatever it takes. We need a significant cultural change very soon. Tyler, if you were president or emperor of America, if you had all the power, What are some economic policies that you would want to get done in America? What are some of the problems that you would want to address and how would you like to address them? Well, our current administration is doing many things to make high-skilled immigration much harder. I would do many things to make it easier. That is by far the number one change I would make. I think economists agree about that and more or less a bipartisan basis.

We have potentially a fiscal crisis in this country. My hope is that AI spurred economic growth will get us out of it. But the problem is, assuming AI does very well, take the most positive scenario, as it throws off these economic dividends, politicians will spend those also. They're just not responsible. So I don't know how to get our government on a responsible fiscal path. And even me as dictator, maybe as dictator I could do it, but I don't see a feasible path from here to there. you know, with either party or a third party or anyway, the voters love debt and deficits because it means they consume a lot and pay lower taxes. It's a big problem. Do you think

there's any way to solve it? Is there any way that we would ever get spending under control or is it just pretty much a lost cause at this point? Well, we'll inflate away some of the debt. I don't like that solution, but it is partially effective in a funny, counterproductive sort of way. And then my hope Is politicians or asleep on the AI dividend that it comes pulls us out of our debt and deficits as it did in the mid 1990s, by the way. And politicians just aren't efficient enough to be merrily spending it along the way that it's a surprise to them. I think it's quite possible that happens. Certainly nothing close to guarantees, but that's the most optimistic scenario. Where is the US debt and US deficit?

sit in terms of your concerns about U.S. economy and America's future. Like how far up the list does it rank for you in terms of your largest concerns? Well, it's in the top tier. So our debt is now about 40 trillion. I understand our productive capacity is very, very high. We can carry that amount, but at some point you have to start paying parts of it back. And we just keep on increasing the percentage of our GDP or government spending that goes to interest payments. Real interest rates are much higher now across the world. Our Fed is screwing up somewhat. We're in a very bad state. We've made major mistakes. They were all own goals, not caused by, say, another major war for the most part. And we're going to suffer for that. I sometimes say, you know, our plan A is AI, and we have no plan B. Yeah, it often feels as though...

The AI thing is sort of what a lot of our leaders lean on as the, I don't know, their bailout option. It's okay. We can keep spending. We can keep continuing down this seemingly very unsustainable fiscal path because AI is going to help us grow out of it. But to your point, I mean, it doesn't seem that anyone is really taking this seriously in Washington right now. What do you make of the fact that Trump said, as one of his big policies, as part of his platform, that he would balance the budget. He said it over and over again. He seems to convince a lot of people that that was actually what he was going to try to do. It was one of his biggest points in his address to Congress. Congress stands up and gives him a round of applause. And then suddenly, yeah, we do get this news that we've hit 40 trillion dollars. What do you make of that?

Well, it was all lies to begin with anyone who believed it was a fool. For one thing, we had a first term of Trump, right? Now, I don't blame him for COVID. That was unfortunate. But still, there was no effort made even before COVID to address fiscal stability. And then Trump had an earlier career as a businessman where he was rampantly in debt and went under a few times. So why expect fiscal sanity from Trump or for that matter from the Republicans or even the Democrats today? The real issue is the voters want what we have and they don't see there's a long run cost. How would you grade the US economy right now? Given inflation, given debt, but also given the fact that GDP is growing, earnings are up, AI is rolling on. Could you give it a letter grade? Overall, it's still pretty awesome, I have to say. I know it sounds a little crazy. Can I give it a B plus? We're close to full employment.

We used to think China would catch us in terms of aggregate GDP. China is actually falling behind. We've decisively pulled ahead of Europe. We have problems where the world leader in AI, we have by far the best tech sector. We're shooting ourselves in the foot 30 different ways. Corporate earnings are great. Like you said, stock market is more than fine. No recession so far and it's full steam ahead. That makes me nervous itself. because there are inevitably recessions and corrections. But if you want a grade, the grade is not a bad one. Are you surprised by how long this things have appeared to be, I mean, at least from a market perspective, how long the market has been rallying, how long it's been since we've had a serious recession? Yes, I'm surprised. I've lost a lot of money. I should have been way more heavily into equities. I was a fool.

Exante, I don't feel it was a mistake. But ExPost, I was way too worried. What do you think was the cause of that? Some of it is the prospects of AI. But I just think there have been fundamental transformations that favor countries with scale. And the only countries with real scale are the US and China, maybe someday India. And that's kept us going and been an extra kick in the pants in a positive way. And our tech sector has done great. And this is still the number one place to go for talented people. And there's this other fundamental change in the global economy that I had underestimated. And that is how quickly the notion of, I want to move to the US and start a business spread. It's always been a thing, but it just came to more parts of

the world more quickly than I would have thought. I mean, look at the number of people from India who are either CEOs or done startups that have just done great.

How quickly that spread, again, surprised me in a very positive way. The high skilled immigration debate that you talk about and Trump's, it appeared that he was interested in it and then kind of went back on that and you said that you would be a lot more welcoming. What are the dynamics that you think are driving that? I think a lot of people believe that it's largely racism. I think a lot of people think that. But perhaps also this idea that we don't want to be recruiting people from other nations to come in and take jobs that should be for Americans, what do you make of sort of the political dynamics at play there? I believe Trump outsourced that policy to Stephen Miller, and that Stephen Miller genuinely believes that if you push out all these foreigners, what you might call native-born white Americans will rise to the occasion and do all the kinds of great things like they did in the 1950s and 60s.

and it will be good for this country to go back somewhat to how we were culturally, ethnically, linguistically in terms of religion, Christianity. I don't think you can get back to that earlier world. I think the idea of attracting more and more of the best foreigners and that they in many ways embody American values in the true sense, at least as well as our native-borns do, is a more promising path forward. But look, it's a disagreement. And I just think the Trumpers have very strange cultural views without really much evidence behind them. And they've ended up being very nasty to a lot of foreigners and we're just, we're really not getting anything for it. Do you think, would it be a fair characterization to say that you believe that at least a significant portion of our economic policy has been driven by nativism bordering on racism? Our immigration policy, yes. Does that concern you?

Well, it's my number one worry. It's the number one thing I would change. So I think it's very bad. My fear is the Democrats won't reverse it. I know they say they will, but I'm not sure they mean it. And immigration is often an issue they would just rather not talk about. So lurking in the background is this risk that it may be somewhat permanent. If you imagine a world where AI looking back in retrospect is increasing productivity does not.

create the upsides much greater than the downside. What do you think are the biggest sources of friction from here to there? Is it too much regulation, too little? Is it insufficient power grid? Is it cybersecurity threats, lack of cooperation? What do you see as the biggest obstacles to this kind of brave new world of AI? I think the biggest obstacle is just At the institutional level, people really don't know how to use it. We all freelance with AI, we ask it questions, can write things for you, it can solve problems for you. So you have a company or a nonprofit, whatever, for each individual uses fraud or chat GPP, they become more productive. But the idea that you have business flows at the institutional level where AI contributes significantly to productivity.

We're way behind on that, except again for programming. And I think that will take a long time. There's no one really who can teach it to you. It may happen by having startups slowly replacing company firms. The startups will are more likely to be native and start with small numbers of people and do things with AI from the beginning. But try going into some big company and telling people they need to change everything they do. You know, good luck with that. I think that's by far the biggest barrier. I don't doubt we'll over-regulate it at some point, but we over-regulate everything, like America actually can deal with that within reason. Just like, hey, what do we do next is the biggest problem. And when you think about, when you try to, do you have kids, Tyler? Yes, one daughter, she's 36, two grandkids, a third on the way. Okay, so imagine, and you referenced this earlier, imagine your grandkids are going into junior high and high school and you're trying to prepare them given, I thought what you said was really powerful about the traditional paths are no longer guaranteed or they just look more curved and less, you know, quite frankly, more opaque. What skills would you emphasize that young people develop? And there's no way to future-proof yourself, but make it most likely that you in fact have or can register prosperity. How would you coach young people thinking about the skills they need to acquire? I get this question multiple times every day. I never feel I have great answers, but one thing many people can do is just keep current on AI. It's no guarantee of anything, but it's better than falling behind. It does take a lot of involvement because it changes all the time. But being curious...

learning initiative and learning how to retrain yourself and learning how to network. This have always been important, but I think they're truly the skills of the future. So I would encourage anyone, whether my grandkids or not to invest in those. But right now, everyone has the perfect cover letter, right? So you apply, it means nothing, like the system's broken. Who is it who can vouch for you? So networks and connections are far more important. Learn how to do that, learn charisma, learn how to command a room, learn how to give a talk. Tyler Cowan is an economist, author and podcaster at the McCarty Centre, George Mason University. As the faculty director of the McCarty Centre, Tyler co-created Marginal Revolution University, a free online economics education platform that has reached millions. He's also founded Emergent Ventures, a multi-million dollar fund to support underrated people and projects.

Tyler has blogged every day at Marshall Revolution since 2003, helping to make it one of the most widely read economics blogs in the world. He is the bestselling author of nearly 20 books and has been a regular columnist at the New York Times, Bloomberg and now the Free Press. Tyler, we really appreciate your time. Thank you. Thanks, Tyler. My pleasure. Thank you. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Jorge Carti. Our research team is Dan Shilan, Chris Nodonahue, and Mia Silverio. Jake McPherson is our social producer. Drew Burroughs is our technical director, and Catherine Dillon is our executive producer. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow. We'll be off for Labor Day, but join us for a fresh take on markets on Tuesday.